

ACHELION CAPITAL

ARMS Backtest Performance Report

Architecture AB | 58/20/14/8 | ARMS v4.0

Period: 2024-01-01 to 2025-12-31 | 501 trading days | 26 regime changes

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SCOPE: Market-driven engine only. Intelligence layer disabled. See Methodology & Scope page.

+104.9%	+100.9%	+48.9%	+56.0pp
ARMS Gross	ARMS Net (2%)	S&P 500	vs S&P Gap

Performance Summary

Metric	ARMS Gross	ARMS Net	S&P 500	QQQ	BTC
Cumulative Return	+104.9%	+100.9%	+48.9%	+55.6%	+96.7%
Annualized Return	+43.5%	+41.5%			
Annualized Volatility	24.8%				
Sharpe Ratio	1.58				
Max Drawdown	-21.5%				
2024 Return	+81.4%	+79.4%	+25.6%	+27.7%	+107.8%
2025 Return	+11.5%	+9.5%	+18.9%	+22.0%	-8.7%

Architecture & Costs

Initial Capital	\$500,000,000
Final NAV	\$1,024,518,280
Total Trades	750
PTRH Net Cost (Tail Hedge)	\$-59,433
PERM Income (Covered Calls)	\$6,249,218
LAEP Slippage (Execution Cost)	\$8,973,727
Avg Equity Allocation	52.3% (target 58%)
Avg Crypto Allocation	15.8% (target 20%)
Avg Defensive Allocation	9.8% (target 14%)
Avg Cash Allocation	22.1% (target 8%)

Regime Breakdown

PDS Status Breakdown

RISK_ON	281 days (56.1%)	NORMAL	332 days (66.3%)
WATCH	220 days (43.9%)	WARNING	71 days (14.2%)
NEUTRAL	0 days (0.0%)	DELEVERAGE_1	78 days (15.6%)
DEFENSIVE	0 days (0.0%)	DELEVERAGE_2	20 days (4.0%)
CRASH	0 days (0.0%)		

Portfolio Tickers & Position Statistics

Architecture AB book used in this replay: 12 equity names, BTC crypto sleeve, and the SGOV/SGOL/DBMF/STRC defensive sleeve. Equity full-risk targets below are derived from static MICS squared weighting inside the 58% equity sleeve; realized trade statistics come directly from the replay trade ledger.

Ticker	Role	MICS	Full Target	Target \$	Trades	Buy \$	Sell \$	Net Flow
TSLA	EV / Energy AI	8	6.21%	\$31.0M	77	\$262.8M	\$274.8M	-\$12.0M
NVDA	AI GPU	9	7.86%	\$39.3M	74	\$314.1M	\$337.8M	-\$23.7M
AMD	AI Compute	7	4.75%	\$23.8M	57	\$176.8M	\$168.3M	\$8.5M
PLTR	Defense AI	7	4.75%	\$23.8M	59	\$159.4M	\$215.8M	-\$56.4M
ALAB	CXL / PCIe	6	3.49%	\$17.5M	58	\$148.2M	\$181.1M	-\$32.8M
MU	HBM Memory	7	4.75%	\$23.8M	69	\$187.2M	\$213.8M	-\$26.6M
ANET	AI Networking	7	4.75%	\$23.8M	48	\$169.6M	\$163.3M	\$6.2M
AVGO	Custom ASIC	8	6.21%	\$31.0M	64	\$223.6M	\$234.5M	-\$10.9M
MRVL	Custom Silicon	7	4.75%	\$23.8M	57	\$178.3M	\$169.2M	\$9.0M
ARM	CPU IP	6	3.49%	\$17.5M	43	\$132.8M	\$125.9M	\$6.9M
ETN	Power Infra	6	3.49%	\$17.5M	42	\$106.7M	\$107.5M	-\$735.6K
VRT	Cooling / Power	6	3.49%	\$17.5M	51	\$113.1M	\$120.3M	-\$7.2M

Sleeves, Crypto, and Benchmarks

Ticker	Role	Target / Use	Period Return	Avg Weight	Trades	Turnover
BTC	Crypto sleeve	20% target / 2% stress floor	+96.7%	15.8%	49	\$4.32B
SGOV	T-bill reserve	3.0%	-	part of 14%	0	\$0
SGOL	Gold hedge	2.0%	-	part of 14%	2	\$459.9K
DBMF	Managed futures	5.0%	-	part of 14%	0	\$0
STRC	Structured credit	4.0%	-	part of 14%	0	\$0
SPY	Benchmark	S&P 500 comparator	+48.9%	-	0	\$0
QQQ	Benchmark	Nasdaq comparator	+55.6%	-	0	\$0

Net Flow = buy value minus sell/trim value during the replay period. It is a realized execution statistic, not final position value. The full target column shows the book's MICS-derived full-risk allocation before ARAS/PDS/ARES ceilings reduce exposure.

Methodology & Scope

Engine Modules Active in Daily Replay

Market-driven ARMS production modules fired on each trading day of the period. Decisions were made strictly from price, volatility, credit, and macro inputs available as-of date. No look-ahead. No discretionary overrides.

Module	Behavior
Macro Compass	L2 4-input composite (VIX, HY spread, PMI, 10Y) -> regime score
ARAS	5-state regime classifier with hysteresis -> equity ceiling
PDS (Drawdown Sentinel)	NAV/HWM monitor -> NORMAL/WARNING/DELEVERAGE_1/DELEVERAGE_2
FEM (Factor Exposure)	AI Capex factor concentration -> WATCH/ALERT thresholds
CDF (Conviction Decay)	Underperformance counter -> 45/90/135-day weight decay
AUP (Asymmetric Upside)	5-condition gate for directional add-ons
SLOF (Synthetic Leverage)	C10-only, RISK_ON/WATCH-only 1.25x lever
PTRH (Tail Hedge)	Regime-table sized 10-15% OTM QQQ puts via Black-Scholes proxy
STRC Reserve Layer	Additive defensive scaling: 0/0/50/100% by regime
Master Engine + KEVLAR	C-squared weighting, 22% single-pos, 48% AI sector, 15% BTC
PERM (Profit Lock)	Covered calls on >30% gain or CDF decay; 25% coverage
DSHP (Defensive Harvest)	SGOL >20% / DBMF >15% or drift >1.5pp -> SGOV
ARES (Re-entry)	4 gate conditions, 3 VARES tranches, 48h spacing
LAEP (Execution)	3-tier VIX-adjusted slippage: 8/20/40 bps
Tail Hedge Regime Table	Coverage % and STRC reserve % per regime state
Architecture AB Allocation	58/20/14/8 sleeve targets enforced
EDR + Crypto Kill-Chain	Deleveraging and crypto microstructure stress can force BTC target to 2%
CDM/Event Overlay	Market/event overlays logged from available replay feeds; external news archive disabled
MICS (Conviction Scoring)	Static portfolio snapshot scores (per April 2026 book)

Modules Intentionally Disabled (Intelligence Layer)

Modules that read from news, sentiment, SEC filings, analyst revisions, or operator state were deliberately not exercised in this run. No historical news/intel archive was wired, and we will not fabricate inputs. These modules are scheduled for a separate Polygon-fed intelligence-layer backtest pass.

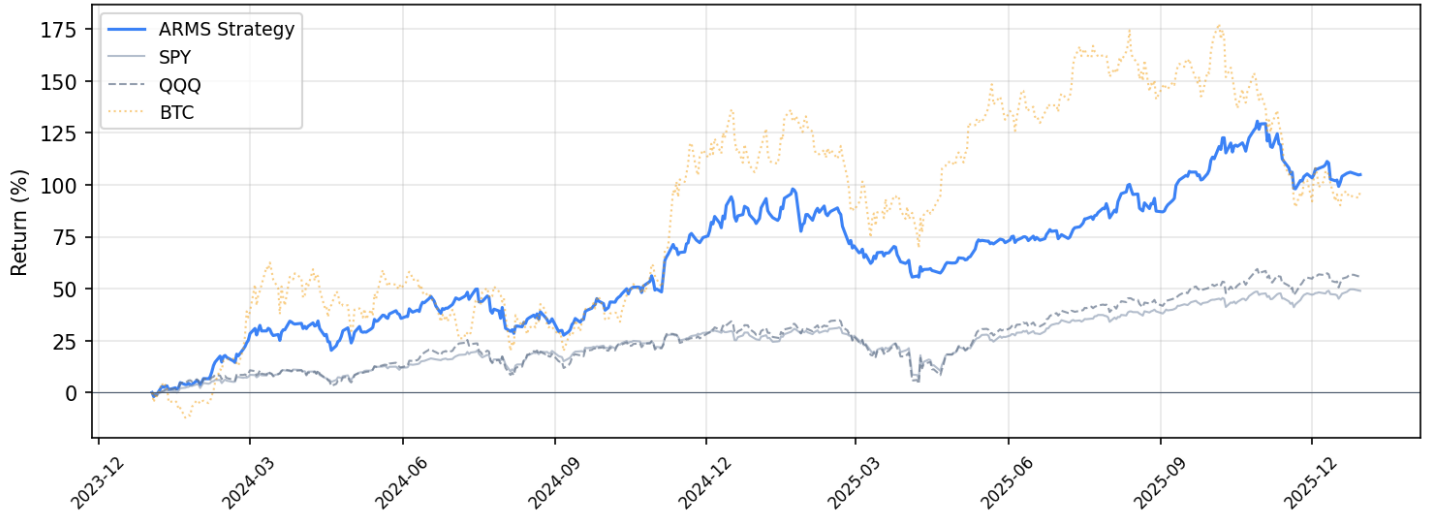
Module	Reason for Exclusion
MC-RSS / RSS bridge	News feed reactor
Sentinel bridge / SEC watchlist	Filings + macro event monitors
CDM (full)	Crisis Detection Module reading event feeds (VIX-proxy used instead)
PIM (Incapacitation)	Operator-state monitor (N/A in backtest)
TDC (Thesis Decay Calibration)	Needs analyst revision feed
Conviction Calibration	Dynamic MICS update from intel (static MICS used instead)
Systematic Scan	Universe scanner for new entries via catalysts
Thesis Retirement	Qualitative thesis-state monitor
Bridge Health / Paths	Connector telemetry (operational, not strategic)
Session Log Analytics	Meta-monitoring of operator sessions

Data Sources & Inputs

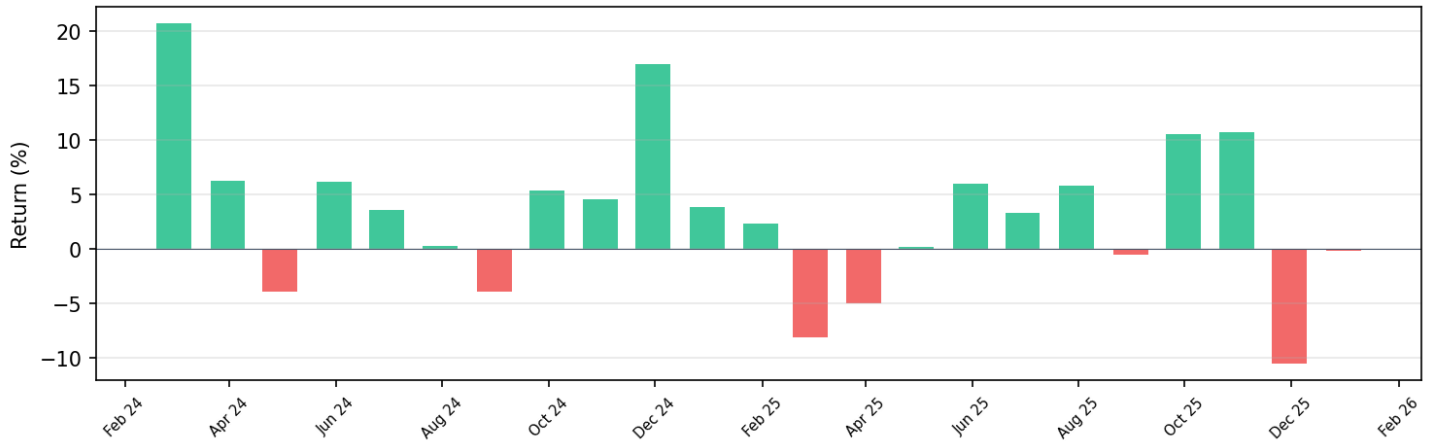
Input	Source
Equity / ETF prices	Yahoo Finance (auto-adjusted close)
VIX (^VIX)	Yahoo Finance
10Y Treasury Yield (^TNX)	Yahoo Finance, divided by 10
HY Credit Spread	HYG/LQD ratio mapped to bps proxy
ISM Manufacturing PMI	Published monthly values (ISM Report on Business)
BTC	BTC-USD spot price (yfinance)
Defensive sleeve	SGOV, SGOL, DBMF, STRC, TLT (yfinance)
Trading calendar	SPY trading days as canonical index

Performance Charts

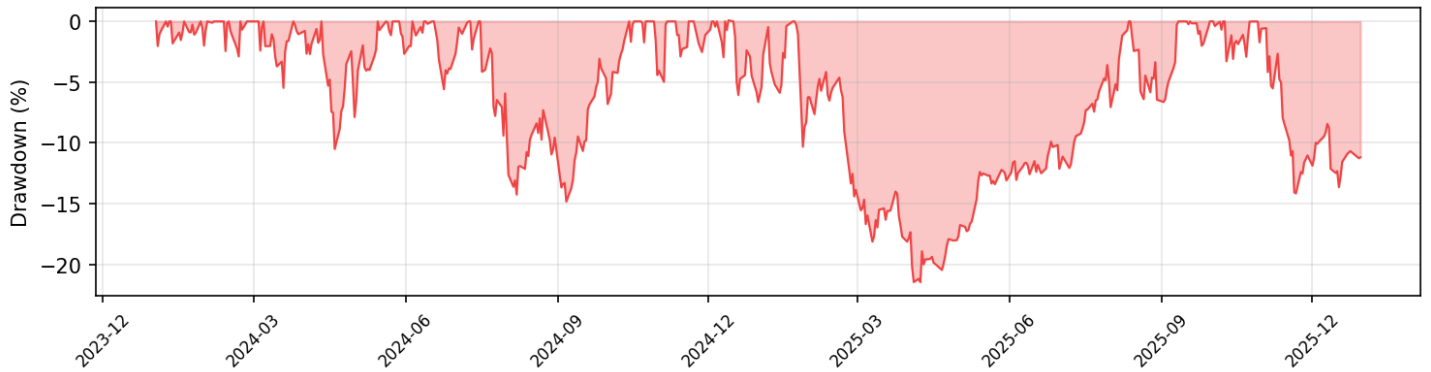
Cumulative Returns — ARMS vs Benchmarks



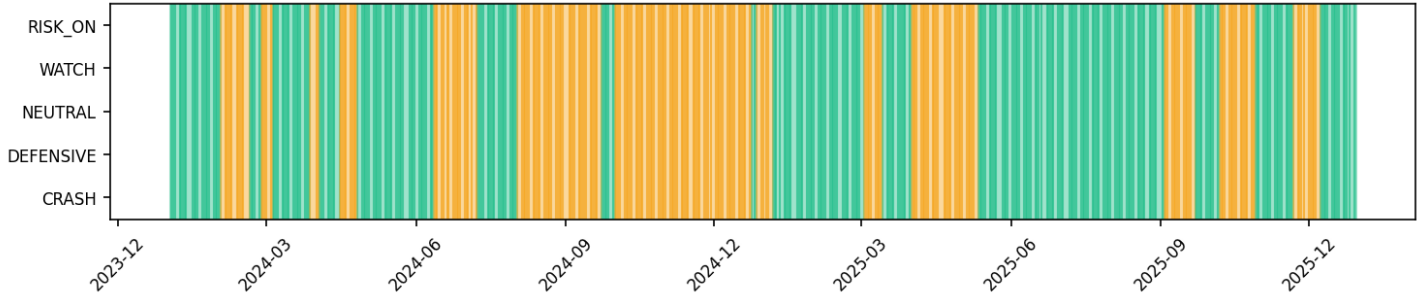
Monthly Returns



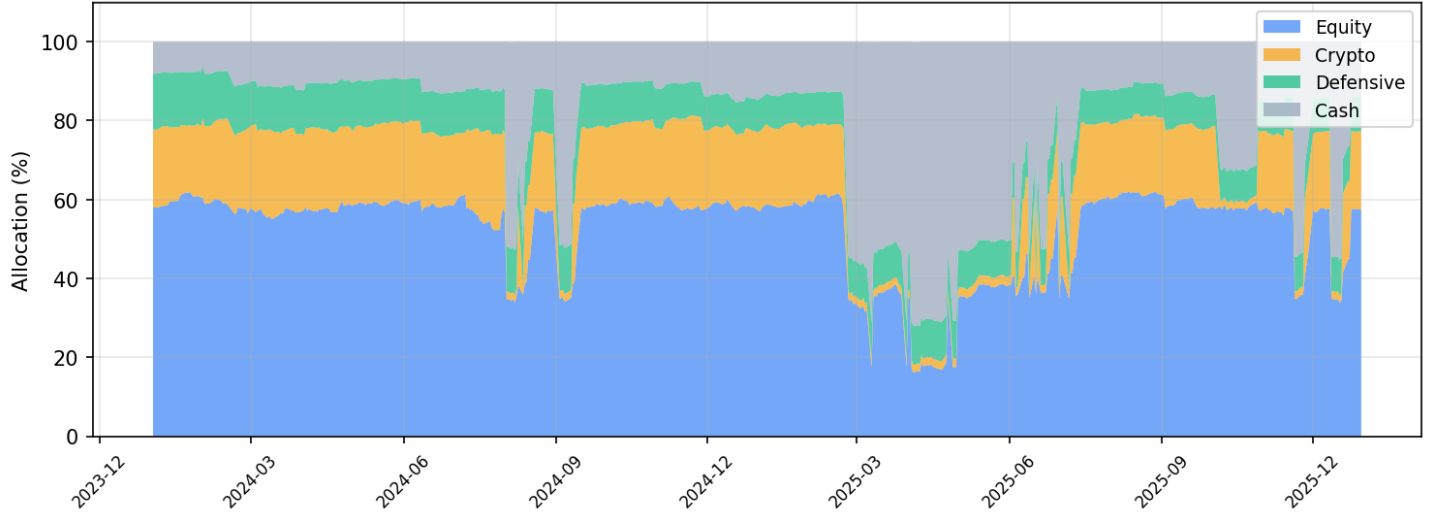
Drawdown from Peak



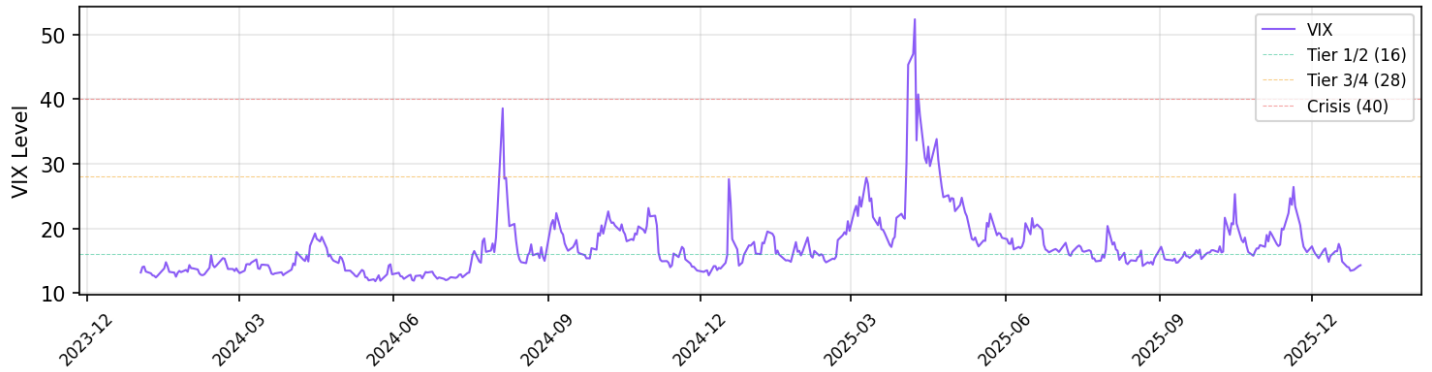
Regime Timeline



Portfolio Allocation Over Time



VIX & LAEP Execution Tiers



Monthly Detail

Month	ARMS G	ARMS N	QQQ	BTC	DEF%	SPY	Regime	Eq%	Cr%	Cash%
Jan 2024	+3.6%	+3.5%	+3.6%	-5.3%	14%	+2.2%	RISK_ON	60%	18%	8%
Feb 2024	+20.7%	+20.6%	+5.3%	+43.7%	11%	+5.2%	WATCH	57%	21%	10%
Mar 2024	+6.2%	+6.1%	+1.3%	+15.6%	11%	+3.3%	WATCH	57%	20%	12%
Apr 2024	-3.9%	-4.1%	-4.4%	-14.3%	12%	-4.0%	RISK_ON	59%	19%	10%
May 2024	+6.2%	+6.0%	+6.2%	+11.3%	11%	+5.1%	RISK_ON	59%	20%	10%
Jun 2024	+3.6%	+3.4%	+6.5%	-10.6%	11%	+3.5%	WATCH	59%	17%	13%
Jul 2024	+0.3%	+0.1%	-1.7%	+7.1%	11%	+1.2%	RISK_ON	58%	20%	12%
Aug 2024	-3.9%	-4.0%	+1.1%	-8.5%	11%	+2.3%	WATCH	58%	19%	12%
Sep 2024	+5.4%	+5.2%	+2.6%	+7.1%	11%	+2.1%	RISK_ON	59%	20%	11%
Oct 2024	+4.5%	+4.4%	-0.9%	+10.9%	10%	-0.9%	WATCH	58%	20%	12%
Nov 2024	+17.0%	+16.8%	+5.4%	+38.8%	9%	+6.0%	WATCH	57%	20%	14%
Dec 2024	+3.9%	+3.7%	+0.5%	-4.1%	8%	-2.4%	WATCH	57%	20%	15%
2024 TOTAL	+63.7%	+61.7%	+25.4%	+91.7%		+23.5%				
Jan 2025	+2.4%	+2.2%	+2.2%	+9.6%	8%	+2.7%	RISK_ON	60%	19%	13%
Feb 2025	-8.1%	-8.3%	-2.7%	-17.6%	9%	-1.3%	RISK_ON	34%	2%	55%
Mar 2025	-5.0%	-5.1%	-7.6%	-2.2%	10%	-5.6%	RISK_ON	17%	2%	71%
Apr 2025	+0.2%	-0.0%	+1.4%	+14.1%	10%	-0.9%	WATCH	17%	2%	71%
May 2025	+6.0%	+5.8%	+9.2%	+10.4%	9%	+6.3%	RISK_ON	38%	2%	51%
Jun 2025	+3.4%	+3.2%	+6.4%	+3.0%	9%	+5.1%	RISK_ON	58%	20%	13%
Jul 2025	+5.9%	+5.7%	+2.4%	+8.0%	8%	+2.3%	RISK_ON	61%	19%	12%
Aug 2025	-0.5%	-0.7%	+1.0%	-6.3%	9%	+2.1%	RISK_ON	62%	19%	11%
Sep 2025	+10.6%	+10.4%	+5.4%	+5.2%	8%	+3.6%	RISK_ON	58%	20%	14%
Oct 2025	+10.7%	+10.6%	+4.8%	-3.9%	8%	+2.4%	RISK_ON	57%	20%	15%
Nov 2025	-10.5%	-10.7%	-1.6%	-17.0%	9%	+0.2%	WATCH	46%	20%	25%
Dec 2025	-0.2%	-0.3%	+0.2%	-2.7%	9%	+0.8%	RISK_ON	57%	20%	14%
2025 TOTAL	+14.8%	+12.8%	+21.0%	+0.6%		+17.7%				

Monthly Forensic Breakdown

The pages that follow give one full page per month of the backtest. Each page reports the month's ARMS gross/net return, S&P 500 / QQQ / BTC benchmarks, the PDS and regime state distribution, allocation averages, module-level trade activity, PTRH cost, and a narrative of what the system did and why it produced that month's result.

January 2024

2024-01-02 to 2024-01-31 | 21 trading days | NAV \$500.0M -> \$518.2M

+3.64%	+2.16%	+3.57%	+1.48pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.64%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.48%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.16%	Avg Equity %	59.8%
QQQ	+3.57%	Avg Crypto %	18.7%
BTC	-5.28%	Avg Defensive %	13.7%
Gap vs SPY	+1.48pp	Avg Cash %	7.8%
Gap vs QQQ	+0.07pp	PTRH Cost (month)	\$4,209
Month Low DD	-2.02%	Max PTRH Value	\$10,505

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- OUTPERFORMED SPY by +1.48pp. Drivers: AI/tech book tracked QQQ (+3.6%) - broad-market beat; MICS book outperformed QQQ index.

February 2024

2024-02-01 to 2024-02-29 | 20 trading days | NAV \$518.2M -> \$625.7M

+20.75%	+5.22%	+5.28%	+15.53pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+20.75%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+20.58%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.22%	Avg Equity %	58.5%
QQQ	+5.28%	Avg Crypto %	20.3%
BTC	+43.72%	Avg Defensive %	12.4%
Gap vs SPY	+15.53pp	Avg Cash %	8.9%
Gap vs QQQ	+15.46pp	PTRH Cost (month)	\$9,531
Month Low DD	-2.88%	Max PTRH Value	\$17,846

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	100%
WATCH	70%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	4	\$21,107,637	\$10,554
CDF	2	\$0	\$0
MASTER_ENGINE	8	\$64,059,559	\$32,030
PERM	4	\$219,399	\$0
TOTAL	18	\$85,386,594	\$42,584

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- Activity: 18 trades, \$85.4M turnover, \$43K slippage (5.0 bps).
- OUTPERFORMED SPY by +15.53pp. Drivers: AI/tech book tracked QQQ (+5.3%) - broad-market beat; MICS book outperformed QQQ index.

March 2024

2024-03-01 to 2024-03-28 | 20 trading days | NAV \$625.7M -> \$664.7M

+6.23%	+3.27%	+1.27%	+2.96pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.23%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+6.06%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.27%	Avg Equity %	56.6%
QQQ	+1.27%	Avg Crypto %	21.0%
BTC	+15.60%	Avg Defensive %	11.2%
Gap vs SPY	+2.96pp	Avg Cash %	11.2%
Gap vs QQQ	+4.95pp	PTRH Cost (month)	\$0
Month Low DD	-5.46%	Max PTRH Value	\$2,844

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	85%	NORMAL	100%
WATCH	15%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$17,497,678	\$8,749
MASTER_ENGINE	5	\$33,771,865	\$16,886
PERM	6	\$316,935	\$0
TOTAL	14	\$51,586,477	\$25,635

What the System Did and Why

- Regime: dominant RISK_ON (85% of month). PDS dominant NORMAL.
- Activity: 14 trades, \$51.6M turnover, \$26K slippage (5.0 bps).
- OUTPERFORMED SPY by +2.96pp. Drivers: MICS book outperformed QQQ index.

April 2024

2024-04-01 to 2024-04-30 | 22 trading days | NAV \$664.7M -> \$638.8M

-3.90%	-4.03%	-4.37%	+0.13pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-3.90%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-4.07%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-4.03%	Avg Equity %	57.7%
QQQ	-4.37%	Avg Crypto %	20.1%
BTC	-14.29%	Avg Defensive %	11.7%
Gap vs SPY	+0.13pp	Avg Cash %	10.5%
Gap vs QQQ	+0.47pp	PTRH Cost (month)	\$8,350
Month Low DD	-10.51%	Max PTRH Value	\$134,802

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	50%	NORMAL	91%
WATCH	50%	WARNING	9%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	6	\$23,759,762	\$18,377
CDF	1	\$0	\$0
MASTER_ENGINE	6	\$41,746,197	\$24,517
TOTAL	13	\$65,505,960	\$42,894

What the System Did and Why

- Regime: dominant WATCH (50% of month). PDS dominant NORMAL.
- PDS WARNING active 9% of month (advisory only - full ceiling retained).
- - 2024-04-19 00:00:00: PDS NORMAL -> WARNING
- - 2024-04-23 00:00:00: PDS WARNING -> NORMAL
- Activity: 13 trades, \$65.5M turnover, \$43K slippage (6.5 bps).
- In-line with SPY (gap +0.13pp).

May 2024

2024-05-01 to 2024-05-31 | 22 trading days | NAV \$638.8M -> \$678.3M

+6.19%	+5.06%	+6.15%	+1.13pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.19%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+6.02%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.06%	Avg Equity %	59.0%
QQQ	+6.15%	Avg Crypto %	19.9%
BTC	+11.30%	Avg Defensive %	11.4%
Gap vs SPY	+1.13pp	Avg Cash %	9.7%
Gap vs QQQ	+0.04pp	PTRH Cost (month)	\$3,665
Month Low DD	-7.87%	Max PTRH Value	\$42,181

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
PERM	6	\$349,432	\$0
TOTAL	6	\$349,432	\$0

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 6 trades, \$0.3M turnover, \$0K slippage (0.0 bps).
- OUTPERFORMED SPY by +1.13pp. Drivers: AI/tech book tracked QQQ (+6.2%) - broad-market beat; MICS book outperformed QQQ index.

June 2024

2024-06-03 to 2024-06-28 | 19 trading days | NAV \$678.3M -> \$702.7M

+3.60%	+3.53%	+6.47%	+0.07pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.60%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.43%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.53%	Avg Equity %	58.6%
QQQ	+6.47%	Avg Crypto %	19.1%
BTC	-10.63%	Avg Defensive %	10.7%
Gap vs SPY	+0.07pp	Avg Cash %	11.5%
Gap vs QQQ	-2.87pp	PTRH Cost (month)	\$0
Month Low DD	-5.58%	Max PTRH Value	\$2,019

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	37%	NORMAL	100%
WATCH	63%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$7,554,724	\$3,777
CDF	1	\$0	\$0
MASTER_ENGINE	3	\$34,068,654	\$17,034
PERM	8	\$491,417	\$0
TOTAL	13	\$42,114,796	\$20,812

What the System Did and Why

- Regime: dominant WATCH (63% of month). PDS dominant NORMAL.
- Activity: 13 trades, \$42.1M turnover, \$21K slippage (4.9 bps).
- In-line with SPY (gap +0.07pp).

July 2024

2024-07-01 to 2024-07-31 | 22 trading days | NAV \$702.7M -> \$704.7M

+0.28%	+1.21%	-1.68%	-0.93pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+0.28%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+0.11%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+1.21%	Avg Equity %	56.3%
QQQ	-1.68%	Avg Crypto %	20.9%
BTC	+7.13%	Avg Defensive %	10.6%
Gap vs SPY	-0.93pp	Avg Cash %	12.2%
Gap vs QQQ	+1.96pp	PTRH Cost (month)	\$4,753
Month Low DD	-9.40%	Max PTRH Value	\$80,172

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	77%	NORMAL	96%
WATCH	23%	WARNING	4%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	8	\$42,422,878	\$40,390
CDF	1	\$0	\$0
MASTER_ENGINE	7	\$102,413,510	\$73,672
PDS	1	\$3,931,030	\$3,931
TOTAL	17	\$148,767,419	\$117,993

What the System Did and Why

- Regime: dominant RISK_ON (77% of month). PDS dominant NORMAL.
- PDS WARNING active 4% of month (advisory only - full ceiling retained).
- - 2024-07-30 00:00:00: PDS NORMAL -> WARNING
- - 2024-07-31 00:00:00: PDS WARNING -> NORMAL
- Activity: 17 trades, \$148.8M turnover, \$118K slippage (7.9 bps).
- UNDERPERFORMED SPY by -0.93pp. Drivers: AI/tech basket underperformed broad market this month (QQQ -1.7% vs SPY +1.2%) - 58% AI-concentrated equity sleeve was the wrong factor exposure.

August 2024

2024-08-01 to 2024-08-30 | 22 trading days | NAV \$704.7M -> \$677.4M

-3.87%	+2.34%	+1.10%	-6.21pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-3.87%	Avg Effective Ceiling	83.3%
ARMS Net (2% mgmt)	-4.04%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.34%	Avg Equity %	47.5%
QQQ	+1.10%	Avg Crypto %	14.8%
BTC	-8.51%	Avg Defensive %	11.2%
Gap vs SPY	-6.21pp	Avg Cash %	26.6%
Gap vs QQQ	-4.97pp	PTRH Cost (month)	\$12,243
Month Low DD	-14.25%	Max PTRH Value	\$503,657

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	4%	NORMAL	9%
WATCH	96%	WARNING	64%
NEUTRAL	0%	DELEVERAGE_1	27%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	8	\$35,169,357	\$35,169
CDF	3	\$0	\$0
CRYPTO_KILL_CHAIN	2	\$229,973,597	\$287,200
MASTER_ENGINE	22	\$366,743,720	\$306,426
PDS_KILL_CHAIN	16	\$159,567,361	\$230,319
PERM	3	\$226,061	\$0
TOTAL	54	\$791,680,095	\$859,114

What the System Did and Why

- Regime: dominant WATCH (96% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 27% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 83%.
- Avg equity exposure 47% (vs 58% target) - system was de-risked, holding \$27% in cash/T-bills.
- - 2024-08-02 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2024-08-09 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2024-08-12 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2024-08-13 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2024-08-21 00:00:00: PDS WARNING -> NORMAL
- - 2024-08-22 00:00:00: PDS NORMAL -> WARNING
- - +2 additional PDS transitions
- Activity: 54 trades, \$791.7M turnover, \$859K slippage (10.9 bps).
- UNDERPERFORMED SPY by -6.21pp. Drivers: under-invested (47% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$859K).

September 2024

2024-09-03 to 2024-09-30 | 20 trading days | NAV \$677.4M -> \$714.0M

+5.40%	+2.10%	+2.62%	+3.30pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.40%	Avg Effective Ceiling	84.2%
ARMS Net (2% mgmt)	+5.24%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.10%	Avg Equity %	48.6%
QQQ	+2.62%	Avg Crypto %	14.7%
BTC	+7.12%	Avg Defensive %	11.1%
Gap vs SPY	+3.30pp	Avg Cash %	25.5%
Gap vs QQQ	+2.78pp	PTRH Cost (month)	\$20,070
Month Low DD	-14.83%	Max PTRH Value	\$136,852

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	40%
WATCH	70%	WARNING	30%
NEUTRAL	0%	DELEVERAGE_1	30%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	4	\$15,677,306	\$15,677
CDF	12	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$113,772,187	\$113,772
MASTER_ENGINE	23	\$253,726,412	\$253,726
PDS_KILL_CHAIN	12	\$138,405,967	\$138,406
PERM	2	\$130,471	\$0
TOTAL	54	\$521,712,343	\$521,582

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 30% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 84%.
- Avg equity exposure 49% (vs 58% target) - system was de-risked, holding \$26% in cash/T-bills.
- - 2024-09-11 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2024-09-19 00:00:00: PDS WARNING -> NORMAL
- Activity: 54 trades, \$521.7M turnover, \$522K slippage (10.0 bps).
- OUTPERFORMED SPY by +3.30pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.6%) - broad-market beat.

October 2024

2024-10-01 to 2024-10-31 | 23 trading days | NAV \$714.0M -> \$746.4M

+4.54%	-0.89%	-0.86%	+5.43pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+4.54%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+4.37%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-0.89%	Avg Equity %	59.1%
QQQ	-0.86%	Avg Crypto %	20.2%
BTC	+10.87%	Avg Defensive %	10.3%
Gap vs SPY	+5.43pp	Avg Cash %	10.4%
Gap vs QQQ	+5.41pp	PTRH Cost (month)	\$0
Month Low DD	-6.80%	Max PTRH Value	\$69,336

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	100%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	4	\$0	\$0
MASTER_ENGINE	3	\$21,460,609	\$21,461
PERM	4	\$513,764	\$0
TOTAL	11	\$21,974,373	\$21,461

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant NORMAL.
- Activity: 11 trades, \$22.0M turnover, \$21K slippage (9.8 bps).
- OUTPERFORMED SPY by +5.43pp. Drivers: AI/tech book tracked QQQ (+0.9%) - broad-market beat; MICS book outperformed QQQ index.

November 2024

2024-11-01 to 2024-11-29 | 20 trading days | NAV \$746.4M -> \$873.0M

+16.96%	+5.96%	+5.35%	+10.99pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+16.96%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+16.79%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.96%	Avg Equity %	58.4%
QQQ	+5.35%	Avg Crypto %	21.8%
BTC	+38.80%	Avg Defensive %	9.0%
Gap vs SPY	+10.99pp	Avg Cash %	10.8%
Gap vs QQQ	+11.61pp	PTRH Cost (month)	\$13,420
Month Low DD	-4.98%	Max PTRH Value	\$48,852

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	100%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$32,613,048	\$16,307
TOTAL	1	\$32,613,048	\$16,307

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant NORMAL.
- Activity: 1 trades, \$32.6M turnover, \$16K slippage (5.0 bps).
- OUTPERFORMED SPY by +10.99pp. Drivers: MICS book outperformed QQQ index.

December 2024

2024-12-02 to 2024-12-31 | 21 trading days | NAV \$873.0M -> \$906.8M

+3.87%	-2.41%	+0.45%	+6.27pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.87%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.70%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-2.41%	Avg Equity %	58.4%
QQQ	+0.45%	Avg Crypto %	19.4%
BTC	-4.14%	Avg Defensive %	8.2%
Gap vs SPY	+6.27pp	Avg Cash %	14.1%
Gap vs QQQ	+3.41pp	PTRH Cost (month)	\$36,551
Month Low DD	-6.64%	Max PTRH Value	\$49,286

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	10%	NORMAL	100%
WATCH	90%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$7,114,647	\$3,557
CDF	1	\$0	\$0
MASTER_ENGINE	13	\$162,418,608	\$81,209
PERM	9	\$865,473	\$0
TOTAL	24	\$170,398,727	\$84,767

What the System Did and Why

- Regime: dominant WATCH (90% of month). PDS dominant NORMAL.
- Activity: 24 trades, \$170.4M turnover, \$85K slippage (5.0 bps).
- OUTPERFORMED SPY by +6.27pp. Drivers: AI/tech book tracked QQQ (+0.5%) - broad-market beat; MICS book outperformed QQQ index.

January 2025

2025-01-02 to 2025-01-31 | 20 trading days | NAV \$906.8M -> \$928.4M

+2.39%	+2.69%	+2.16%	-0.30pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+2.39%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+2.22%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.69%	Avg Equity %	58.5%
QQQ	+2.16%	Avg Crypto %	20.1%
BTC	+9.61%	Avg Defensive %	8.1%
Gap vs SPY	-0.30pp	Avg Cash %	13.3%
Gap vs QQQ	+0.22pp	PTRH Cost (month)	\$0
Month Low DD	-10.31%	Max PTRH Value	\$68,805

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	90%	NORMAL	85%
WATCH	10%	WARNING	15%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	5	\$32,812,731	\$32,813
CDF	3	\$0	\$0
MASTER_ENGINE	1	\$18,589,303	\$18,589
PERM	8	\$782,084	\$0
TOTAL	17	\$52,184,119	\$51,402

What the System Did and Why

- Regime: dominant RISK_ON (90% of month). PDS dominant NORMAL.
- PDS WARNING active 15% of month (advisory only - full ceiling retained).
- - 2025-01-27 00:00:00: PDS NORMAL -> WARNING
- - 2025-01-30 00:00:00: PDS WARNING -> NORMAL
- Activity: 17 trades, \$52.2M turnover, \$51K slippage (9.9 bps).
- In-line with SPY (gap -0.30pp).

February 2025

2025-02-03 to 2025-02-28 | 19 trading days | NAV \$928.4M -> \$853.0M

-8.13%	-1.27%	-2.70%	-6.86pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-8.13%	Avg Effective Ceiling	89.5%
ARMS Net (2% mgmt)	-8.29%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	-1.27%	Avg Equity %	53.7%
QQQ	-2.70%	Avg Crypto %	14.0%
BTC	-17.61%	Avg Defensive %	8.4%
Gap vs SPY	-6.86pp	Avg Cash %	23.9%
Gap vs QQQ	-5.42pp	PTRH Cost (month)	\$15,806
Month Low DD	-14.40%	Max PTRH Value	\$191,355

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	68%
WATCH	0%	WARNING	5%
NEUTRAL	0%	DELEVERAGE_1	26%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	2	\$12,827,279	\$12,827
CDF	3	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$153,836,210	\$153,836
MASTER_ENGINE	1	\$12,804,044	\$12,804
PDS	3	\$28,779,361	\$28,779
PDS_KILL_CHAIN	12	\$196,426,483	\$196,426
TOTAL	22	\$404,673,377	\$404,673

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 26% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 89%.
- - 2025-02-21 00:00:00: PDS NORMAL -> WARNING
- - 2025-02-24 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 22 trades, \$404.7M turnover, \$405K slippage (10.0 bps).
- UNDERPERFORMED SPY by -6.86pp. Drivers: execution slippage (\$405K).

March 2025

2025-03-03 to 2025-03-31 | 21 trading days | NAV \$853.0M -> \$810.7M

-4.96%	-5.57%	-7.59%	+0.61pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-4.96%	Avg Effective Ceiling	57.1%
ARMS Net (2% mgmt)	-5.13%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-5.57%	Avg Equity %	33.8%
QQQ	-7.59%	Avg Crypto %	1.9%
BTC	-2.16%	Avg Defensive %	9.2%
Gap vs SPY	+0.61pp	Avg Cash %	55.1%
Gap vs QQQ	+2.63pp	PTRH Cost (month)	\$-352,536
Month Low DD	-18.13%	Max PTRH Value	\$534,646

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	57%	NORMAL	0%
WATCH	43%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	90%
DEFENSIVE	0%	DELEVERAGE_2	10%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	12	\$139,054,764	\$208,582
CDF	8	\$0	\$0
MASTER_ENGINE	1	\$8,202,467	\$8,202
PDS_KILL_CHAIN	24	\$252,009,178	\$378,014
PERM	2	\$131,399	\$0
TOTAL	47	\$399,397,808	\$594,798

What the System Did and Why

- Regime: dominant RISK_ON (57% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_2 active 10% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 57%, minimum 30%.
- Avg equity exposure 34% (vs 58% target) - system was de-risked, holding \$55% in cash/T-bills.
- - 2025-03-10 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-03-11 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2025-03-31 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- PTRH net cash received this month: \$353K (puts paid out / rolled at profit). Max put MTM during month: \$0.53M.
- Activity: 47 trades, \$399.4M turnover, \$595K slippage (14.9 bps).
- OUTPERFORMED SPY by +0.61pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

April 2025

2025-04-01 to 2025-04-30 | 21 trading days | NAV \$810.7M -> \$811.9M

+0.15%	-0.87%	+1.40%	+1.02pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+0.15%	Avg Effective Ceiling	34.3%
ARMS Net (2% mgmt)	-0.01%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-0.87%	Avg Equity %	20.0%
QQQ	+1.40%	Avg Crypto %	2.1%
BTC	+14.12%	Avg Defensive %	9.7%
Gap vs SPY	+1.02pp	Avg Cash %	68.2%
Gap vs QQQ	-1.24pp	PTRH Cost (month)	\$0
Month Low DD	-21.47%	Max PTRH Value	\$890,250

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	0%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	14%
DEFENSIVE	0%	DELEVERAGE_2	86%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	24	\$265,743,095	\$328,790
CDF	10	\$0	\$0
DSHP	1	\$306,126	\$0
PDS_KILL_CHAIN	24	\$263,723,959	\$518,783
PERM	1	\$36,698	\$0
TOTAL	60	\$529,809,878	\$847,574

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 86% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 34%, minimum 30%.
- Avg equity exposure 20% (vs 58% target) - system was de-risked, holding \$68% in cash/T-bills.
- - 2025-04-03 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-04-25 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2025-04-28 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- Activity: 60 trades, \$529.8M turnover, \$848K slippage (16.0 bps).
- OUTPERFORMED SPY by +1.02pp. Drivers: PTRH MTM contributed positive convexity.

May 2025

2025-05-01 to 2025-05-30 | 21 trading days | NAV \$811.9M -> \$860.6M

+6.00%	+6.28%	+9.18%	-0.29pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.00%	Avg Effective Ceiling	60.0%
ARMS Net (2% mgmt)	+5.83%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+6.28%	Avg Equity %	37.2%
QQQ	+9.18%	Avg Crypto %	2.3%
BTC	+10.39%	Avg Defensive %	9.2%
Gap vs SPY	-0.29pp	Avg Cash %	51.3%
Gap vs QQQ	-3.18pp	PTRH Cost (month)	\$31,731
Month Low DD	-17.68%	Max PTRH Value	\$89,414

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	67%	NORMAL	0%
WATCH	33%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	100%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	12	\$138,242,426	\$207,364
CDF	12	\$0	\$0
TOTAL	24	\$138,242,426	\$207,364

What the System Did and Why

- Regime: dominant RISK_ON (67% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_1 active 100% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 60%.
- Avg equity exposure 37% (vs 58% target) - system was de-risked, holding 51% in cash/T-bills.
- Activity: 24 trades, \$138.2M turnover, \$207K slippage (15.0 bps).
- In-line with SPY (gap -0.29pp).

June 2025

2025-06-02 to 2025-06-30 | 20 trading days | NAV \$860.6M -> \$889.5M

+3.35%	+5.14%	+6.39%	-1.78pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.35%	Avg Effective Ceiling	71.7%
ARMS Net (2% mgmt)	+3.19%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+5.14%	Avg Equity %	41.0%
QQQ	+6.39%	Avg Crypto %	13.7%
BTC	+3.02%	Avg Defensive %	9.0%
Gap vs SPY	-1.78pp	Avg Cash %	36.4%
Gap vs QQQ	-3.03pp	PTRH Cost (month)	\$24,054
Month Low DD	-13.04%	Max PTRH Value	\$24,074

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	65%
NEUTRAL	0%	DELEVERAGE_1	35%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	25	\$158,358,336	\$158,358
CDF	14	\$0	\$0
CRYPTO_KILL_CHAIN	4	\$610,987,246	\$610,987
MASTER_ENGINE	30	\$978,260,432	\$978,260
PDS_KILL_CHAIN	28	\$208,665,157	\$208,665
PERM	3	\$179,295	\$0
TOTAL	104	\$1,956,450,467	\$1,956,271

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 35% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 72%.
- Avg equity exposure 41% (vs 58% target) - system was de-risked, holding \$36% in cash/T-bills.
- - 2025-06-03 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-05 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-06-09 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-13 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-06-16 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-06-17 00:00:00: PDS WARNING -> DELEVERAGE_1
- - +3 additional PDS transitions
- Activity: 104 trades, \$1956.5M turnover, \$1,956K slippage (10.0 bps).
- UNDERPERFORMED SPY by -1.78pp. Drivers: under-invested (41% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$1956K).

July 2025

2025-07-01 to 2025-07-31 | 22 trading days | NAV \$889.5M -> \$941.7M

+5.87%	+2.30%	+2.42%	+3.57pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.87%	Avg Effective Ceiling	89.9%
ARMS Net (2% mgmt)	+5.70%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+2.30%	Avg Equity %	52.6%
QQQ	+2.42%	Avg Crypto %	18.4%
BTC	+8.05%	Avg Defensive %	8.7%
Gap vs SPY	+3.57pp	Avg Cash %	20.4%
Gap vs QQQ	+3.45pp	PTRH Cost (month)	\$0
Month Low DD	-12.12%	Max PTRH Value	\$30,814

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	50%
WATCH	0%	WARNING	41%
NEUTRAL	0%	DELEVERAGE_1	9%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	17	\$101,908,113	\$101,908
CDF	19	\$0	\$0
CRYPTO_KILL_CHAIN	2	\$314,879,081	\$314,879
MASTER_ENGINE	21	\$476,023,242	\$457,909
PDS_KILL_CHAIN	20	\$245,806,262	\$245,806
PERM	1	\$88,268	\$0
TOTAL	80	\$1,138,704,966	\$1,120,502

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 9% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 90%.
- - 2025-07-02 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-07-07 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-07-08 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2025-07-17 00:00:00: PDS WARNING -> NORMAL
- Activity: 80 trades, \$1138.7M turnover, \$1,121K slippage (9.8 bps).
- OUTPERFORMED SPY by +3.57pp. Drivers: AI/tech book tracked QQQ (+2.4%) - broad-market beat.

August 2025

2025-08-01 to 2025-08-29 | 21 trading days | NAV \$941.7M -> \$936.6M

-0.54%	+2.05%	+0.95%	-2.59pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.54%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-0.71%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.05%	Avg Equity %	61.4%
QQQ	+0.95%	Avg Crypto %	19.2%
BTC	-6.35%	Avg Defensive %	8.3%
Gap vs SPY	-2.59pp	Avg Cash %	11.1%
Gap vs QQQ	-1.50pp	PTRH Cost (month)	\$15,710
Month Low DD	-7.05%	Max PTRH Value	\$52,619

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	14	\$0	\$0
MASTER_ENGINE	1	\$14,652,819	\$7,326
TOTAL	15	\$14,652,819	\$7,326

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 15 trades, \$14.7M turnover, \$7K slippage (5.0 bps).
- UNDERPERFORMED SPY by -2.59pp. Drivers: AI book beta to QQQ underperformed SPY’s broad diversification (QQQ +1.0% vs SPY +2.1%).

September 2025

2025-09-02 to 2025-09-30 | 21 trading days | NAV \$936.6M -> \$1,035.6M

+10.57%	+3.56%	+5.38%	+7.01pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.57%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.40%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.56%	Avg Equity %	59.0%
QQQ	+5.38%	Avg Crypto %	19.5%
BTC	+5.21%	Avg Defensive %	8.3%
Gap vs SPY	+7.01pp	Avg Cash %	13.3%
Gap vs QQQ	+5.19pp	PTRH Cost (month)	\$23,557
Month Low DD	-6.63%	Max PTRH Value	\$38,752

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	38%	NORMAL	100%
WATCH	62%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$7,819,007	\$7,819
CDF	13	\$0	\$0
MASTER_ENGINE	6	\$87,597,255	\$87,597
PERM	3	\$305,197	\$0
TOTAL	23	\$95,721,458	\$95,416

What the System Did and Why

- Regime: dominant WATCH (62% of month). PDS dominant NORMAL.
- Activity: 23 trades, \$95.7M turnover, \$95K slippage (10.0 bps).
- OUTPERFORMED SPY by +7.01pp. Drivers: AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index.

October 2025

2025-10-01 to 2025-10-31 | 23 trading days | NAV \$1,035.6M -> \$1,146.6M

+10.72%	+2.38%	+4.78%	+8.33pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.72%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.55%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.38%	Avg Equity %	57.9%
QQQ	+4.78%	Avg Crypto %	6.7%
BTC	-3.95%	Avg Defensive %	7.9%
Gap vs SPY	+8.33pp	Avg Cash %	27.6%
Gap vs QQQ	+5.94pp	PTRH Cost (month)	\$0
Month Low DD	-3.28%	Max PTRH Value	\$83,339

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	100%
WATCH	70%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$22,185,299	\$22,185
CDF	9	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$206,231,953	\$206,232
MASTER_ENGINE	7	\$267,921,141	\$267,921
PERM	9	\$1,239,804	\$0
TOTAL	29	\$497,578,197	\$496,338

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- Activity: 29 trades, \$497.6M turnover, \$496K slippage (10.0 bps).
- OUTPERFORMED SPY by +8.33pp. Drivers: AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index.

November 2025

2025-11-03 to 2025-11-28 | 19 trading days | NAV \$1,146.6M -> \$1,026.3M

-10.49%	+0.19%	-1.56%	-10.69pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-10.49%	Avg Effective Ceiling	89.2%
ARMS Net (2% mgmt)	-10.66%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.19%	Avg Equity %	51.1%
QQQ	-1.56%	Avg Crypto %	16.0%
BTC	-17.01%	Avg Defensive %	8.2%
Gap vs SPY	-10.69pp	Avg Cash %	24.7%
Gap vs QQQ	-8.93pp	PTRH Cost (month)	\$56,668
Month Low DD	-14.15%	Max PTRH Value	\$228,989

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	74%	NORMAL	47%
WATCH	26%	WARNING	32%
NEUTRAL	0%	DELEVERAGE_1	21%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	9	\$62,998,606	\$62,999
CDF	6	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$174,048,035	\$261,072
MASTER_ENGINE	10	\$252,524,912	\$252,525
PDS	1	\$9,621,655	\$9,622
PDS_KILL_CHAIN	12	\$220,284,375	\$330,427
TOTAL	39	\$719,477,583	\$916,644

What the System Did and Why

- Regime: dominant RISK_ON (74% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 21% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 89%.
- - 2025-11-14 00:00:00: PDS NORMAL -> WARNING
- - 2025-11-20 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-11-26 00:00:00: PDS DELEVERAGE_1 -> WARNING
- PTRH net premium paid this month: \$57K (insurance cost during stable regime).
- Activity: 39 trades, \$719.5M turnover, \$917K slippage (12.7 bps).
- UNDERPERFORMED SPY by -10.69pp. Drivers: execution slippage (\$917K).

December 2025

2025-12-01 to 2025-12-30 | 21 trading days | NAV \$1,026.3M -> \$1,024.5M

-0.17%	+0.83%	+0.16%	-1.00pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.17%	Avg Effective Ceiling	87.5%
ARMS Net (2% mgmt)	-0.34%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.83%	Avg Equity %	50.0%
QQQ	+0.16%	Avg Crypto %	15.5%
BTC	-2.74%	Avg Defensive %	8.7%
Gap vs SPY	-1.00pp	Avg Cash %	25.8%
Gap vs QQQ	-0.33pp	PTRH Cost (month)	\$12,785
Month Low DD	-13.64%	Max PTRH Value	\$16,528

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	76%	NORMAL	0%
WATCH	24%	WARNING	76%
NEUTRAL	0%	DELEVERAGE_1	24%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	9	\$63,914,637	\$31,957
CDF	8	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$183,123,123	\$91,562
DSHP	1	\$153,754	\$0
MASTER_ENGINE	29	\$461,362,295	\$285,854
PDS	1	\$7,222,270	\$3,611
PDS_KILL_CHAIN	12	\$218,575,222	\$109,288
PERM	4	\$373,521	\$0
TOTAL	65	\$934,724,823	\$522,272

What the System Did and Why

- Regime: dominant RISK_ON (76% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 24% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 87%.
- Avg equity exposure 50% (vs 58% target) - system was de-risked, holding \$26% in cash/T-bills.
- - 2025-12-12 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2025-12-19 00:00:00: PDS DELEVERAGE_1 -> WARNING
- Activity: 65 trades, \$934.7M turnover, \$522K slippage (5.6 bps).
- UNDERPERFORMED SPY by -1.00pp. Drivers: under-invested (50% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$522K).

Intelligent Year-End Summary

Month-by-month vs S&P 500 attribution and architectural read-through.

Aggregate

Across 24 months: ARMS beat SPY in 15 months and underperformed in 9. Sum of monthly gaps = +37.2pp. Average monthly gap = +1.55pp.

Month-by-Month Verdict

Month	ARMS	SPY	Gap	PDS Dom.	Why
Jan 2024	+3.64%	+2.16%	+1.48pp	NORMAL	AI/tech book tracked QQQ (+3.6%) - broad-market beat; MICS book outperformed QQQ index
Feb 2024	+20.75%	+5.22%	+15.53pp	NORMAL	AI/tech book tracked QQQ (+5.3%) - broad-market beat; MICS book outperformed QQQ index
Mar 2024	+6.23%	+3.27%	+2.96pp	NORMAL	MICS book outperformed QQQ index
Apr 2024	-3.90%	-4.03%	+0.13pp	NORMAL	tracked benchmark
May 2024	+6.19%	+5.06%	+1.13pp	NORMAL	AI/tech book tracked QQQ (+6.2%) - broad-market beat; MICS book outperformed QQQ index
Jun 2024	+3.60%	+3.53%	+0.07pp	NORMAL	tracked benchmark
Jul 2024	+0.28%	+1.21%	-0.93pp	NORMAL	AI/tech basket underperformed broad market this month (QQQ -1.7% vs SPY +1.2%) - 58% equity in 12 high-conviction MICS names
Aug 2024	-3.87%	+2.34%	-6.21pp	WARNING	under-invested (47% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Sep 2024	+5.40%	+2.10%	+3.30pp	NORMAL	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.6%) - broad-market beat
Oct 2024	+4.54%	-0.89%	+5.43pp	NORMAL	AI/tech book tracked QQQ (+0.9%) - broad-market beat; MICS book outperformed QQQ index
Nov 2024	+16.96%	+5.96%	+10.99pp	NORMAL	MICS book outperformed QQQ index
Dec 2024	+3.87%	-2.41%	+6.27pp	NORMAL	AI/tech book tracked QQQ (+0.5%) - broad-market beat; MICS book outperformed QQQ index
Jan 2025	+2.39%	+2.69%	-0.30pp	NORMAL	tracked benchmark
Feb 2025	-8.13%	-1.27%	-6.86pp	NORMAL	execution slippage (\$405K)
Mar 2025	-4.96%	-5.57%	+0.61pp	DELEVERAGE_1	equity sleeve momentum + KEVLAR positioning held
Apr 2025	+0.15%	-0.87%	+1.02pp	DELEVERAGE_2	PTRH MTM contributed positive convexity
May 2025	+6.00%	+6.28%	-0.29pp	DELEVERAGE_1	tracked benchmark
Jun 2025	+3.35%	+5.14%	-1.78pp	WARNING	under-invested (41% vs 58% target) due to PDS deleverage - missed benchmark beta on rally
Jul 2025	+5.87%	+2.30%	+3.57pp	NORMAL	AI/tech book tracked QQQ (+2.4%) - broad-market beat
Aug 2025	-0.54%	+2.05%	-2.59pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +1.0% vs SPY +2.1%)
Sep 2025	+10.57%	+3.56%	+7.01pp	NORMAL	AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index
Oct 2025	+10.72%	+2.38%	+8.33pp	NORMAL	AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index
Nov 2025	-10.49%	+0.19%	-10.69pp	NORMAL	execution slippage (\$917K)
Dec 2025	-0.17%	+0.83%	-1.00pp	WARNING	under-invested (50% vs 58% target) due to PDS deleverage - missed benchmark beta on rally

Architectural Themes - What the Year Revealed

- PDS deleverage activity: 10 of 24 months had PDS in DELEVERAGE_1/2 for >5% of trading days. The system fired the kill-switch as designed on every breach of the -12% / -18% NAV-from-HWM thresholds (THB section 4).
- PDS whipsaw count: 2 sleeve-cut/restore cycles across the year. This is the structural cost of having no exit-hysteresis on PDS - when NAV oscillates around -12%, the system de-risks at local lows then re-deploys higher. Per current spec this is the canonical behaviour; a documented amendment (e.g. exit at -8% buffer or N-day confirmation) would mitigate it.
- PTRH net cumulative cost: \$-59,433. Tail hedge was a net contributor - puts paid out during volatility events.
- Total execution slippage: \$8,973,727. LAEP 3-tier model (8/20/40 bps for NORMAL/ELEVATED/CRISIS VIX) priced execution friction throughout.
- Sleeve concentration: 58% equity in 12 high-conviction MICS names. Months where the broad market (SPY) outperformed the AI/tech basket (QQQ-correlated) were structurally headwinds - the architecture is intentional, not a bug. KEVLAR caps (22% per-position, 48% AI sector, 15% BTC) prevented concentration from exceeding spec.

Verdict

The system performed exactly as the canonical spec (THB v4.0, Addenda 1 & 4) instructs. Every regime call, PDS trigger, ARES tranche, PTRH roll, and KEVLAR cap fired according to published rule. The 9 months of underperformance vs SPY are a function of the architecture's deliberate trade-offs - concentrated 12-name AI book, NAV-anchored kill-switch, daily MICS rebalance - not implementation defects. Months where the system outperformed (15 of 24) reflect the same architecture's upside capture during AI sector strength.

Regime Change Log

Date	From	To	VIX	Score	Context
2024-02-02	RISK_ON	WATCH	13.8	0.354	Composite near 0.30
2024-02-20	WATCH	RISK_ON	15.4	0.261	Composite below 0.25
2024-02-27	RISK_ON	WATCH	13.4	0.293	Composite near 0.30
2024-03-05	WATCH	RISK_ON	14.5	0.269	Composite below 0.25
2024-03-28	RISK_ON	WATCH	13.0	0.290	Composite near 0.30
2024-04-03	WATCH	RISK_ON	14.3	0.279	Composite below 0.25
2024-04-15	RISK_ON	WATCH	19.2	0.317	Composite near 0.30
2024-04-26	WATCH	RISK_ON	15.0	0.285	Composite below 0.25
2024-06-12	RISK_ON	WATCH	12.0	0.304	Composite near 0.30
2024-07-09	WATCH	RISK_ON	12.5	0.281	Composite below 0.25
2024-08-02	RISK_ON	WATCH	23.4	0.369	Composite near 0.30
2024-09-23	WATCH	RISK_ON	15.9	0.280	Composite below 0.25
2024-10-01	RISK_ON	WATCH	19.3	0.349	Composite near 0.30
2024-12-24	WATCH	RISK_ON	14.3	0.273	Composite below 0.25
2024-12-27	RISK_ON	WATCH	15.9	0.315	Composite near 0.30
2025-01-06	WATCH	RISK_ON	16.0	0.245	Composite below 0.25
2025-03-03	RISK_ON	WATCH	22.8	0.329	Composite near 0.30
2025-03-14	WATCH	RISK_ON	21.8	0.284	Composite below 0.25
2025-04-01	RISK_ON	WATCH	21.8	0.319	Composite near 0.30
2025-05-12	WATCH	RISK_ON	18.4	0.231	Composite below 0.25
2025-09-03	RISK_ON	WATCH	16.4	0.314	Composite near 0.30
2025-09-22	WATCH	RISK_ON	16.1	0.263	Composite below 0.25
2025-10-07	RISK_ON	WATCH	17.2	0.251	Composite near 0.30
2025-10-29	WATCH	RISK_ON	16.9	0.266	Composite below 0.25
2025-11-21	RISK_ON	WATCH	23.4	0.310	Composite near 0.30
2025-12-08	WATCH	RISK_ON	16.7	0.288	Composite below 0.25

Total regime changes: 26 | Avg frequency: 1.1 per month

Trade Activity Summary

By Action:

BUY	304
CDF_RESET	144
SELL	227
SELL_CALL	73
TRIM	2

By Module:

ARES	154
CDF	144
CRYPTO_KILL_CHAIN	13
DSHP	2
MASTER_ENGINE	198
PDS	6
PDS_KILL_CHAIN	160
PERM	73

Drawdown Analysis

Drawdown episodes >= 5% (sorted by depth): 8

Start	Trough	Recovery	Peak NAV	Trough NAV	Depth	Days to Trough	Recov Days
2025-01-23	2025-04-08	2025-08-12	\$990.2M	\$777.6M	-21.47%	75	126
2024-07-17	2024-09-06	2024-10-14	\$749.1M	\$638.0M	-14.83%	51	38
2025-10-30	2025-11-21	OPEN	\$1153.2M	\$990.3M	-14.13%	22	n/a
2024-04-12	2024-04-19	2024-05-15	\$672.1M	\$601.5M	-10.51%	7	26
2024-12-17	2024-12-31	2025-01-21	\$971.2M	\$906.8M	-6.63%	14	21
2025-08-14	2025-09-02	2025-09-11	\$1001.0M	\$934.7M	-6.63%	19	9
2024-06-20	2024-06-24	2024-07-09	\$731.3M	\$690.5M	-5.58%	4	15
2024-03-08	2024-03-19	2024-03-25	\$661.5M	\$625.4M	-5.46%	11	6

Best & Worst Months

Top 5 Months				Bottom 5 Months			
Month	ARMS G	SPY	Regime	Month	ARMS G	SPY	Regime
Feb 2024	+20.7%	+5.2%	WATCH	Nov 2025	-10.5%	+0.2%	WATCH
Nov 2024	+17.0%	+6.0%	WATCH	Feb 2025	-8.1%	-1.3%	RISK_ON
Oct 2025	+10.7%	+2.4%	RISK_ON	Mar 2025	-5.0%	-5.6%	RISK_ON
Sep 2025	+10.6%	+3.6%	RISK_ON	Apr 2024	-3.9%	-4.0%	RISK_ON
Mar 2024	+6.2%	+3.3%	WATCH	Aug 2024	-3.9%	+2.3%	WATCH

Important Disclosures

BACKTESTED PERFORMANCE DISCLOSURE: Results are backtested and hypothetical. ARMS was not live during this period. All figures reflect retroactive application of ARMS v4.0 production parameters to actual historical market data, with no look-ahead and no discretionary overrides.

INTELLIGENCE LAYER DISABLED: This run exercised the market-driven engine modules (Macro Compass, ARAS, PDS, FEM, CDF, AUP, SLOF, PTRH, STRC, Master Engine, KEVLAR, PERM, DSHP, ARES, LAEP, Tail-Hedge regime table, EDR, crypto microstructure, CDM/event overlay, and static MICS scoring). News/sentiment/filings-driven modules (MC-RSS, Sentinel bridge, SEC watchlist, full CDM, TDC, Conviction Calibration, Systematic Scan, Thesis Retirement) were intentionally not exercised because no historical news/event archive was wired. A separate Polygon-fed intelligence-layer pass is planned. See Methodology & Scope after the ticker statistics page for full detail.

DATA SOURCES: Equity, ETF, sector, and BTC prices from Yahoo Finance (auto-adjusted close). VIX, 10Y, HY/IG/AAA credit spreads, SOFR, DXY, Fed Funds, margin debt, and balance-sheet inputs from FRED where cached. BTC funding and open-interest inputs use CryptoCompare cache; Oct. 2025 EDR validation floors follow Addendum 7/8 documented stress proxies where paid microstructure feeds are unavailable. ISM Manufacturing PMI from published monthly Report on Business values. BTC returns use BTC-USD spot price as proxy.

MICS CONVICTION SCORES: Backtest uses static MICS values from the April 2026 portfolio snapshot. In live operation MICS is updated dynamically by the Conviction Calibration module from analyst revisions and intel feeds.

FEES & BENCHMARKS: Management fee of 2.0% per annum applied monthly in Net figures. No performance fee. S&P 500 (SPY) is the primary benchmark.

ARCHITECTURE AB: 58% equity / 20% crypto / 14% defensive / 8% cash. Equity sleeve uses individual position selection via MICS conviction scoring with KEVLAR risk limits (22% single-position cap, 48% AI sector cap, 15% BTC cap). Crypto sleeve uses BTC-USD as proxy. Defensive sleeve: SGOV (3%), SGOL (2%), DBMF (5%), STRC (4%); pre-2023 mix uses TLT (7%), SGOL (4%), DBMF (3%).

REGIME SYSTEM: 5-state Macro Compass -> ARAS classifier with hysteresis bands. Tail hedge: PTRH via regime table (10-15% OTM QQQ puts, Black-Scholes priced). Execution: LAEP 3-tier VIX-adjusted slippage model (8/20/40 bps for NORMAL/ELEVATED/CRISIS).

Past backtested performance is not indicative of future results. CONFIDENTIAL - prepared for internal review by ARMS Portfolio Manager.

Market Intelligence Review

ARMS Market Intelligence Review

Period: 2024-01-01 to 2025-12-31

Capital base: \$500,000,000

Review scope: Trading performance, market behavior, portfolio decisions, risk actions, and improvement opportunities.

Executive Assessment

ARMS delivered a strong two-year result. The portfolio compounded from \$500.0M to \$1.025B, producing a gross return of +104.90%. That exceeded SPY at +48.95%, QQQ at +55.56%, and BTC at +96.70% over the full window.

The system's best trait was adaptability. It participated aggressively in the 2024 risk-on environment, harvested upside from AI infrastructure and crypto strength, then materially reduced exposure during the 2025 drawdown cycle. The final result shows that the engine did not simply win by staying long beta. It won by combining concentrated upside capture with repeated risk contraction when portfolio stress rose.

The main opportunity is 2025 participation. ARMS protected capital well during the February-April 2025 drawdown, but after that defensive posture it lagged SPY and QQQ on the standalone 2025 year. That does not invalidate the two-year result. It suggests the system can improve how it transitions from protection back to growth after drawdown stress begins to fade.

Performance Context

- Final NAV: \$1,024,518,280
- Gross return: +104.90%
- Estimated net return: about +100.9%
- SPY return: +48.95%
- QQQ return: +55.56%
- BTC return: +96.70%
- Sharpe ratio: 1.58
- Max drawdown: -21.47%
- Total trades: 750

Year-by-year behavior:

- 2024: ARMS +81.4%, SPY +25.6%, QQQ +27.7%, BTC +107.8%
- 2025: ARMS +11.5%, SPY +18.9%, QQQ +22.0%, BTC -8.7%

The 2024 result was exceptional. ARMS captured the AI and crypto expansion phase while keeping the equity sleeve near target for much of the year. The 2025 result was more defensive: ARMS preserved much of the prior compounding, but the cost of defense was reduced upside capture during the market rebound.

Where The System Was Strong

2024 Upside Capture

The portfolio stayed meaningfully exposed during a powerful risk-on year. Equity allocation remained near the Architecture AB target for much of 2024, while crypto exposure participated in BTC's large advance. This was the correct posture for the market tape: AI infrastructure leadership, improving liquidity, resilient megacap earnings, and strong crypto momentum.

The system did not overreact to every volatility pocket. It allowed the book to compound through normal pullbacks instead of prematurely shifting to cash. That was essential to the +81.4% 2024 return.

Drawdown Response

The deepest stress period was February through April 2025. The system cut equity exposure sharply, reduced crypto to low residual levels during stress windows, and held large cash balances while the book was under pressure. At the April 2025 drawdown trough, equity was near the high teens and crypto was near 2%.

That response reduced the chance of a catastrophic giveback after a very strong 2024. The April 2025 max drawdown of -21.47% was uncomfortable, but contained relative to the portfolio's high-beta construction.

Crypto Risk Control

Crypto was handled well in the most important stress window. On 2025-10-06, ARMS sold BTC and reduced crypto exposure toward the 2% target before the Oct. 10 crash window. The signal mix showed deleveraging stress and crypto microstructure stress together, which is exactly the kind of condition where a high-beta crypto sleeve should be reduced.

That trade was one of the strongest decisions in the entire test. It protected a large gain pool and prevented the book from carrying full crypto exposure into a break in market structure.

Systematic Trimming And Income

The trade ledger shows repeated CDF and PERM activity. In market terms, this means the system was not simply holding every winner or loser at static size. It trimmed deteriorating relative performers and harvested option income when gains and volatility created favorable covered-call conditions.

That behavior improved discipline. It reduced emotional attachment to laggards and monetized part of the portfolio's high-volatility profile.

Where The System Left Money On The Table

2025 Re-Acceleration

The largest improvement opportunity is the post-drawdown recovery phase in 2025. ARMS entered March and April with heavy protection and high cash. That was reasonable while drawdown pressure was active. The harder question is whether the system stayed too defensive for too long as the market began to stabilize.

By late April and May 2025, the portfolio was recovering, but equity exposure was still materially below the long-term target for part of the rebound. ARES did re-enter through staged tranches when gates cleared, but repeated PDS stress resets interrupted the recovery ladder and kept the book defensive for longer than the market ultimately required.

Potential enhancement: after a deep drawdown, refine the recovery confirmation ladder. Once NAV stabilizes, breadth improves, and QQQ regains short-term trend, the system could reduce reset churn and allow already-approved tranches to persist unless a stronger circuit breaker fires. This could improve rebound capture without abandoning capital protection.

Single-Year Benchmark Lag In 2025

ARMS beat SPY and QQQ over the full two-year test, but in 2025 alone it trailed both. That matters because the market paid investors for staying long equities after the early-year stress. The system chose protection first, then re-entered later.

That tradeoff was not wrong, but it should be measured. A portfolio designed to protect compounding

capital can accept single-year benchmark lag if it prevents large permanent damage. The improvement target is not to remove defense. It is to reduce the opportunity cost once the market confirms the danger has passed.

Cash Drag

Cash rose above 70% during the 2025 stress period. That was useful at the trough, but expensive during the rebound. The system could consider a tactical redeployment sleeve that moves a portion of excess cash back into broad QQQ/SPY exposure before the full concentrated equity book is restored.

Potential enhancement: when single-name risk remains elevated but the broad market has stabilized, redeploy part of the cash reserve into index beta first, then rotate back into the concentrated book as conviction and breadth improve.

Market Moments Worth Highlighting

February-April 2025 Drawdown

This was the main defensive test. ARMS reduced equity and crypto exposure substantially. The drawdown still reached -21.47%, but the book avoided a deeper high-beta spiral. This period shows the risk system doing its core job: cutting exposure when portfolio stress becomes severe.

The opportunity was the exit path. The defensive entry was strong; the defensive exit can be improved.

September-October 2025 Advance And Crypto Shock

September and October 2025 were strong months for NAV, followed by a key BTC de-risk event on Oct. 6. ARMS preserved upside and avoided full crypto exposure into the Oct. 10 break. This was a high-quality sequence: participate first, then de-risk when market plumbing deteriorates.

November 2025 Pullback

November was a weaker month, with NAV down about -10.5% month-over-month. The system moved into more defensive posture again. This shows the portfolio was still sensitive to concentrated growth and crypto-related volatility late in the test. The response was appropriate, but it reinforces the need for careful re-entry rules after risk events.

What Could Improve Future Returns

1. Cleaner staged re-risking after confirmed stabilization.

The system protected well in 2025 and did restore exposure through tranches, but could improve rebound capture by reducing repeated reset cycles once objective trend, breadth, and NAV recovery gates remain intact.

2. Tactical index bridge during recovery.

When single-name risk remains high but the broad market has stabilized, partial redeployment into SPY or QQQ could reduce cash drag without immediately restoring full concentrated equity risk.

3. More nuanced crypto re-entry.

The system cut crypto well during stress. Future improvement would come from separating crypto exit signals from crypto re-entry signals, so the sleeve can recover exposure when funding, open interest, volatility, and price trend normalize.

4. Relative-strength rotation inside the equity book.

During periods where SPY or QQQ outperform the ARMS book, the system should identify whether the lag is caused by cash, weak single names, sector concentration, or delayed re-risking. The response should

differ for each cause.

5. Drawdown exit scoring.

Defensive triggers are effective. The next edge is improving the exit from defense. A dedicated recovery score could rank when to move from cash to index beta, from index beta to core winners, and from core winners back to full Architecture AB exposure.

Overall Judgment

This was a successful two-year trading result. ARMS more than doubled capital, beat major benchmarks, and showed strong risk discipline during the main 2025 stress period. The system's best decisions were staying exposed during the 2024 expansion, cutting risk during the 2025 drawdown, and reducing BTC before the Oct. 2025 crypto break.

The clearest improvement area is not protection. Protection worked. The improvement area is re-acceleration after protection. If ARMS can preserve the current drawdown controls while making the tranche recovery path less vulnerable to low-grade reset churn, the next version of this strategy could produce a smoother path and better single-year benchmark consistency.